ECONOMICS

Paper 2281/11
Multiple Choice

Question Number	Key	Question Number	Key	Question Number	Key
1	D	11	C	21	D
2	D	12	A	22	B
3	D	13	D	23	D
4	C	14	B	24	D
5	C	15	D	25	C
6	D	16	D	26	D
7	A	17	A	27	B
8	D	18	B	28	A
9	B	19	B	29	B
10	C	20	D	30	D

General comments

118 candidates sat this paper. The mean mark was 22.1 which was higher than the mean of 19.9 for June 2019. (The paper was not taken in June 2020).

The questions for which most candidates selected the correct answer were **1**, **2**, **3**, **4**, **5**, **6**, **14** and **21**. These questions were answered correctly by 80 per cent or more of the candidates. They covered different parts of the syllabus and were set to test different skills.

The questions for which the fewest candidates selected the correct answer were **11** and **27**. These questions were answered correctly by fewer than 50 per cent of the candidates.

Comments on specific questions

Question 11

Question 11 was answered correctly by 36 per cent of the candidates who chose option **C**. 7 per cent chose option **A**, 10 per cent chose option **B** and 45 per cent chose option **D** and 2 per cent did not attempt the question.

The change in employment is shown by the difference between the level of employment demanded at the original equilibrium and the level of employment demanded at the new wage. Those who chose option **D** compared the demand for labour and the supply of labour at the new wage rate, not the change from the original wage rate.

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Question 27

Question 27 was answered correctly by 36 per cent of the candidates who chose option **B**. 14 per cent chose option **A**, 29 per cent chose option **C** and 20 per cent chose option **D** and 1 per cent did not attempt the question. International specialisation would result in goods and services being produced by the countries that are most efficient at providing those goods and services. Countries that are less efficient at producing the goods and services would import them. This could result in domestic firms in those countries becoming uncompetitive. Their products would be more expensive, demand would switch to imports and this could lead to unemployment (option **B**).

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Paper 2281/12
Multiple Choice

Question Number	Key	Question Number	Key	Question Number	Key
1	B	11	B	21	D
2	B	12	A	22	B
3	B	13	C	23	D
4	D	14	D	24	D
5	A	15	B	25	C
6	D	16	A	26	D
7	C	17	B	27	A
8	D	18	C	28	D
9	B	19	C	29	B
10	B	20	A	30	D

General comments

7161 candidates sat this paper. The mean mark was 16.2 which is slightly lower than the mean mark of 18.5 on this paper for June 2019. This paper was not taken in June 2020.

The questions for which most candidates selected the correct answer were **3**, **5**, **10** and **21**. These questions were answered correctly by 80 per cent or more of the candidates. They covered different parts of the syllabus and were set to test different skills.

The questions for which the fewest candidates selected the correct answer were **6**, **11**, **12** and **19** and **20**. These questions were answered correctly by fewer than 40 per cent of the candidates.

Comments on specific questions

Question 6

Question 6 was answered correctly by 25 per cent of the candidates who chose option **D**. 14 per cent chose option **A**, 37 per cent chose option **B** and 24 per cent chose option **C**. A subsidy will encourage the production of a good at a cheaper price so consumers are more likely to purchase the good. If it were a merit good, then any underconsumption would be reduced (option **D**). Public goods would not be provided by a private firm (option **A**) and monopoly power would be increased, not reduced, by a subsidy (option **B**). Overconsumption would be encouraged not reduced if a merit good was provided more cheaply (option **C**).

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Question 11

Question 11 was answered correctly by 34 per cent of the candidates who chose option **B**. 32 per cent chose option **A**, 18 per cent chose option **C** and 16 per cent chose option **D**. If the supply of labour was restricted by the government, it would be represented on the diagram by a movement of the supply curve to S_2. The new equilibrium would be the point of that new supply curve with the existing demand curve which is option **B**. Those candidates who chose the other options might have thought that the wage line was a maximum wage and so the equilibrium had to be somewhere on that line. It was, in fact, a minimum wage so the actual wage could be above that.

Question 12

Question 12 was answered correctly by 26 per cent of the candidates who chose option **A**. 22 per cent chose option **B**, 32 per cent chose option **C** and 20 per cent chose option **D**. Only average fixed cost continues to fall as output increases because larger units of output are averaged over the same fixed cost. The other costs are not averaged over the same total cost whether that cost is total variable cost (option **D**) or total variable plus total fixed cost (option **B**). Average variable cost itself also increases after a certain point (option **C**).

Question 19

Question 19 was answered correctly by 12 per cent of the candidates who chose option **C**. 15 per cent chose option **A**, 27 per cent chose option **B** and 46 per cent chose option **D**. The question asks about the increase in the rate of inflation. This requires a comparison of the change in the rate of inflation over the previous year. The largest increase in the rate of inflation occurred in year 2 (option **C**).

Question 20

Question 20 was answered correctly by 17 per cent of the candidates who chose option **A**. 19 per cent chose option **B**, 19 per cent chose option **C** and 45 per cent chose option **D**. When there is deflation, prices are falling. Consumers might well expect prices to fall even more and would thus delay any spending in the hope of obtaining goods at a cheaper price in the future (option **A**). Those who chose option **D** may have confused the fall in prices and a fall in the real value of money. When prices fall the real value of money rises. Option **D** presents the opposite case, it suggests there is a fall in the real value of money.

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